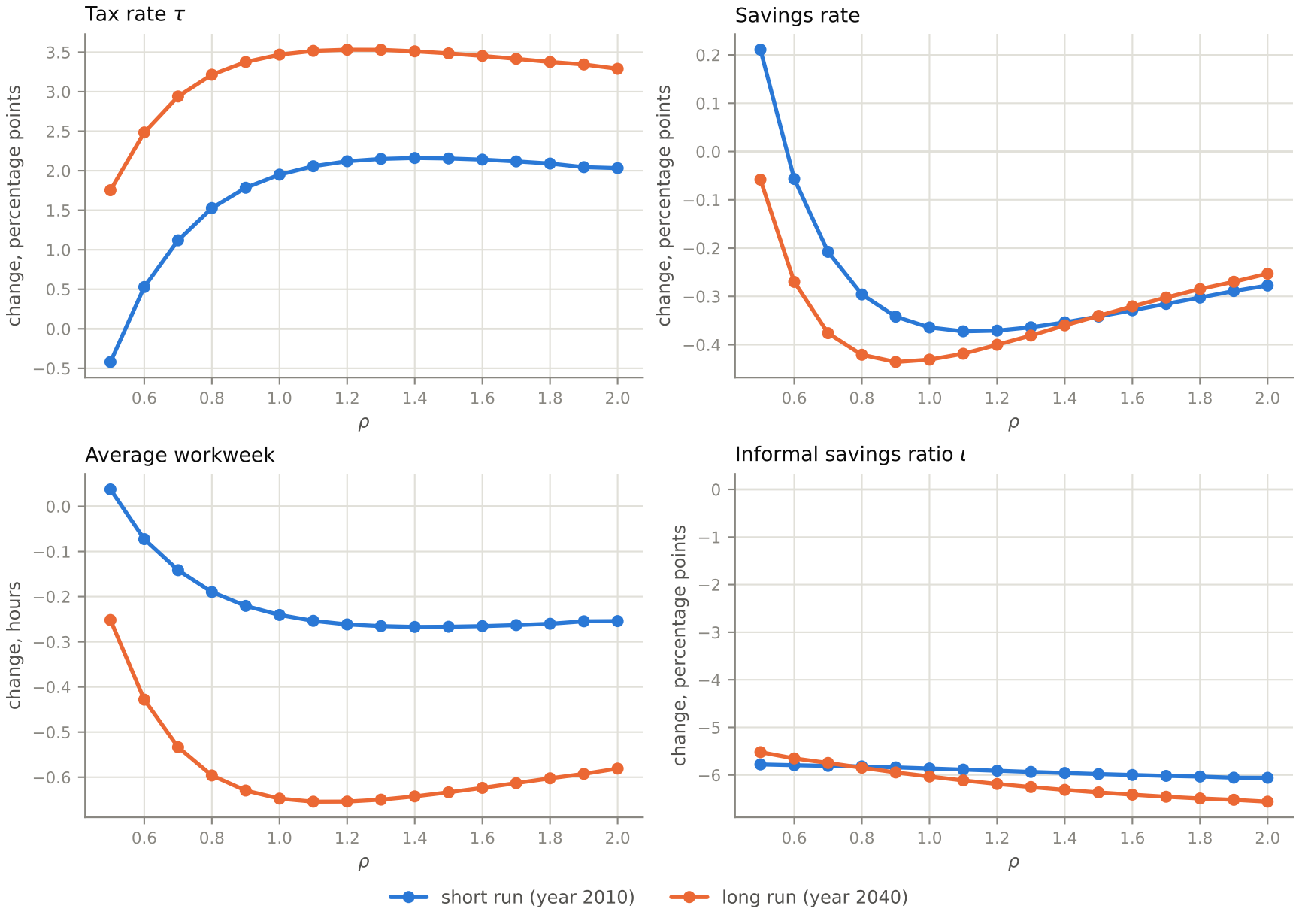
Tax rate τ
change, percentage points
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−0.5
0.6
0.8
1.0
1.2
1.4
1.6
1.8
2.0
ρ
Savings rate
change, percentage points
0.2
0.1
0.0
−0.1
−0.2
−0.3
−0.4
0.6
0.8
1.0
1.2
1.4
1.6
1.8
2.0
ρ
Average workweek
change, hours
0.0
−0.1
−0.2
−0.3
−0.4
−0.5
−0.6
0.6
0.8
1.0
1.2
1.4
1.6
1.8
2.0
ρ
Informal savings ratio ι
change, percentage points
0
−1
−2
−3
−4
−5
−6
0.6
0.8
1.0
1.2
1.4
1.6
1.8
2.0
ρ
short run (year 2010)
long run (year 2040)